Robustness −− Italy: local vs global content and the euro crisis

Subsample	Months	R2 CF (IS)	R2 GCF (IS)	t(CF_perp)	t(GCF)	R2 CF (OOS)	R2 GCF (OOS)
Full sample	352	0.285	0.078	3.74	2.08	−0.053	−0.020
Pre−crisis (..2007:06)	151	0.447	0.063	5.32	−0.72	−−	0.077
Financial crisis (2007−09)	30	0.468	0.016	6.60	−3.38	−−	−0.127
Euro crisis (2010−12)	36	0.748	0.280	10.38	−0.44	0.215	−0.031
Post−crisis (2013−)	135	0.184	0.163	2.58	2.67	−0.153	−0.010

Italian local−currency rx_t12 across subsamples. 'R2 CF (IS)' and 'R2 GCF (IS)' are single−factor in−sample fits; t(CF_perp) and t(GCF) are the horse−race HAC t−statistics from rx ~ CF_perp + GCF, with CF_perp the part of the Italian cycle factor orthogonal to the global factor (full−sample projection). 'R2 CF/GCF (OOS)' are the recursive Campbell−Thompson R2 scored in the window. The surviving local Italian content of Phase II is concentrated in the 2010−2012 sovereign−debt crisis.